# MODEL LICENSING CLAUSE LIBRARY

Technology, Software, SaaS and Intellectual Property Licensing Precedents

Licence grants, royalties and audit, SaaS and enterprise terms, commissioned work, joint development, technology transfer, confidentiality, remedies and dispute resolution

**Contents:** 40+ model clauses with alternative formulations, a scenario selector, party-position checklists, an IP due-diligence schedule and a heads-of-terms template.

**Conventions:** [SQUARE BRACKETS] = to be completed or selected; **Option A/B/C** = alternative drafting; Drafting notes explain the commercial trade-off and which party typically prefers which version.

*These model clauses reflect widely used market practice (common-law style, drawing on WIPO, LESI and ICC materials and typical US, UK, Indian and Singapore precedents). They are a drafting aid, not legal advice, and must be reviewed against the governing law and commercial facts of each transaction. Statutory references should be verified against current texts.*

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# Part 1. Drafting Framework

## 1.1 The six variables of a licence grant

Every licence grant, however long, is built from six adjustable variables. Fix the six variables commercially first, then select clauses. The master grant sentence is:

> "Licensor hereby grants to Licensee a **[1 Exclusivity]**, **[2 Territory]**, **[3 Term]**, **[4 Field of Use]**, **[5 Transferability / Sublicensing]** licence under the Licensed IP to **[6 Permitted Actions]**."

| Variable | Choices | Who benefits from the wide / narrow setting |
|---|---|---|
| 1. Exclusivity | Exclusive (even Licensor excluded) / Sole (Licensor + Licensee only) / Non-exclusive | Licensee wants exclusive; Licensor wants non-exclusive to license many users, or exclusivity tied to performance |
| 2. Territory | Worldwide / named countries or regions (e.g. a country plus a regional bloc) / excluding named countries | Licensor splits territories among distributors; Licensee wants regional reach that matches its sales footprint |
| 3. Term | Fixed years / life of patent / perpetual / evergreen with renewal | Licensee wants long term for investment recovery; Licensor wants shorter or renewable term with performance tests |
| 4. Field of Use | Industry, product type, channel or application (e.g. agriculture drones v. medical delivery drones) | Field splitting lets Licensor license the same IP to several exclusive licensees |
| 5. Sublicensing / transfer | None / affiliates only / with consent / free, with flow-down and survival | Licensee wants flexibility (resellers, group companies); Licensor wants control over who ends up using the IP |
| 6. Permitted actions | Use, reproduce, modify, make, have made, sell, offer, import, distribute, host, display | Narrow actions (internal use only) reduce risk and price; wide actions raise value and royalty |

## 1.2 Structuring checklist

- **Step 1 - Identify the asset:** patent, copyright software, trade secret / know-how, trade mark, design, database, or a bundle. Confirm who owns it (chain of title).
- **Step 2 - Fix the six variables** using the table above.
- **Step 3 - Choose the commercial model:** perpetual licence, subscription / SaaS, enterprise agreement, royalty-bearing patent licence, technology transfer, or joint development.
- **Step 4 - Money:** upfront, milestones, running royalty, minimums, audit.
- **Step 5 - Risk allocation:** warranties, indemnity, liability cap, escrow, insurance.
- **Step 6 - Exit:** termination triggers, effects, survival, transition assistance.
- **Step 7 - Enforcement and disputes:** who sues infringers, injunctions, governing law, arbitration.

## 1.3 Jurisdiction note (Bhutan nexus)

For transactions with a Bhutan nexus, practitioners should be checked, at minimum: the **Industrial Property Act of the Kingdom of Bhutan 2001** (patents, marks, designs; it contains a provision on changes in ownership and licence contracts, and a compulsory-licensing provision, which should be reviewed for whether licence recordal affects enforceability against third parties); the **Copyright Act of Bhutan 2001** (software is protected as a literary work; general term is life of author plus 50 years for individual authors); the **Contract Act of Bhutan 2013**; the **Alternative Dispute Resolution Act 2013** (arbitration and mediation framework); the **Companies Act 2000**; the **Information, Communications and Media Act 2018**; and applicable tax rules on royalties and withholding. Confirm current amendments, recordal procedures and any foreign-exchange or approval requirements with the relevant authority before relying on the clauses below.

# Part 2. Definitions Schedule

Definitions carry most of the risk in a licence. Use only those the agreement actually needs, and keep each definition tied to a single concept.

**"Affiliate"** means, for a Party, any entity that directly or indirectly Controls, is Controlled by, or is under common Control with that Party, for so long as such Control exists; and "Control" means ownership of more than [50]% of the voting securities or the power to direct management and policies.

**"Licensed IP"** means (a) the Licensed Patents, (b) the Licensed Software, (c) the Licensed Know-How, (d) the Licensed Marks, and (e) all copyrights, database rights, and other intellectual property rights in the foregoing, in each case as listed in Schedule [1], together with all Improvements owned by Licensor to the extent provided in Clause [15].

**"Licensed Software"** means the computer programs identified in Schedule [1] in [object code / source code] form, including Updates, Upgrades and the related Documentation.

**"Licensed Patents"** means the patents and patent applications listed in Schedule [1], and all continuations, divisionals, continuations-in-part (to the extent of claims supported in the parent), reissues, re-examinations, extensions and foreign counterparts.

**"Licensed Know-How"** means the technical, scientific and commercial information, data, specifications, processes, formulae, designs, software architecture and procedures, in any form, that is confidential, not generally known, and owned or controlled by Licensor as of the Effective Date and listed or described in Schedule [2].

**"Licensed Product"** means any product or service the making, use, sale, offer for sale, import or provision of which, but for the licence granted, would infringe a Valid Claim or would use or incorporate Licensed Software or Licensed Know-How.

**"Valid Claim"** means a claim of an issued patent within the Licensed Patents that has not expired, lapsed or been held invalid or unenforceable by a final, unappealable decision of a court or agency of competent jurisdiction, or a claim of a pending application that has not been pending for more than [seven (7)] years.

**"Field"** means [describe precisely, e.g. "the use of unmanned aerial vehicles for agricultural spraying and crop monitoring", expressly excluding all other fields, including medical, logistics and defence applications].

**"Territory"** means [worldwide / list of countries]. Where a country is named, the definition includes its territories and possessions [and excludes: list].

**"Net Sales"** means the gross amounts invoiced by Licensee, its Affiliates and Sublicensees for Licensed Products to third parties, less only the following, to the extent actually incurred, separately itemised on the invoice or documented, and not previously deducted: (a) trade, quantity and cash discounts actually allowed; (b) credits for returns and rejected goods; (c) sales, value-added and similar taxes separately stated and paid; and (d) [freight and insurance separately charged]. No deduction shall be made for commissions, marketing, overhead, bad debt, uncollected amounts or any cost of manufacture. Sales between Licensee and its Affiliates for resale shall be disregarded and Net Sales calculated on the first arm's-length sale. Where a Licensed Product is sold in combination with other products or services, Net Sales shall be determined under Clause [6.6].

**"Confidential Information"** means all non-public information, in any form, disclosed by or on behalf of a Party (the "Discloser") to the other (the "Recipient") in connection with this Agreement that is marked or identified as confidential or that a reasonable person would understand to be confidential from its nature and the circumstances of disclosure, including the Licensed Know-How, source code and the terms of this Agreement.

**"Improvement"** means any modification, enhancement, adaptation, derivative work or development of the Licensed IP, whether or not patentable or copyrightable.

**"Sublicensee"** means a third party to which Licensee grants a sublicence under Clause [4].

**"Background IP"** means all IP owned or controlled by a Party before the Effective Date or developed independently of this Agreement. "Foreground IP" means IP first conceived, reduced to practice or created in the performance of this Agreement.

**"Documentation"** means user manuals, technical specifications, installation guides, API references and training materials relating to the Licensed Software supplied by Licensor.

**"Affected Data / Customer Data"** means all data, content and materials submitted to or generated through the Service by or for Customer, including outputs, but excluding Service Usage Data.

# Part 3. Core Licence Clauses

## Clause 1. Licence Grant

### 1.1 Grant - Option A: Exclusive

Subject to the terms of this Agreement, Licensor hereby grants to Licensee, during the Term, an **exclusive** (including as to Licensor, except as provided in Clause 1.4), [non-transferable except under Clause 5], [royalty-bearing] licence, with the right to grant sublicences solely in accordance with Clause 4, under the Licensed IP to make, have made, use, sell, offer for sale, import, reproduce, modify, distribute and otherwise commercialise Licensed Products in the Field in the Territory.

**Drafting note:** Exclusive means that the Licensor itself is shut out of the Field and Territory. Licensors should therefore (i) reserve research and internal-use rights (Clause 1.4), (ii) tie exclusivity to diligence and minimum royalties (Clauses 8 and 6.5), and (iii) convert to non-exclusive on failure.

### 1.2 Grant - Option B: Sole

Subject to the terms of this Agreement, Licensor hereby grants to Licensee a **sole** licence in the Territory and the Field, such that Licensor shall not grant any third party a licence under the Licensed IP in the Field in the Territory, but Licensor retains the right to practise the Licensed IP itself [and through its Affiliates] in the Field in the Territory.

**Drafting note:** Sole is the middle path: no third-party competitors, but the owner stays in the market. Useful where the Licensor has its own operations or a captive customer base.

### 1.3 Grant - Option C: Non-exclusive (standard commercial software and SaaS)

Subject to the terms of this Agreement, Licensor hereby grants to Licensee a **non-exclusive**, non-transferable, non-sublicensable (except as expressly stated), [revocable only as provided in Clause 19] licence during the Term to [install, run and use] the Licensed Software [in object code form only] [solely for Licensee's internal business purposes] [on up to [number] Authorised Devices / by up to [number] Authorised Users] in the Territory.

**Drafting note:** Non-exclusive licences are the market norm: the Licensor can license the same IP to many customers. For software, state the metric (user, device, core, transaction, revenue) because the metric defines compliance and audit exposure.

### 1.4 Reserved rights and exceptions to exclusivity

Notwithstanding Clause 1.1, Licensor retains the non-exclusive, worldwide, royalty-free right, for itself and its academic and non-profit research collaborators, to practise the Licensed IP for internal research, teaching and educational purposes, [and to fulfil obligations to governmental funding bodies]. Any rights of the Government or funding agency under applicable law, including [march-in or compulsory licensing rights], are reserved and this licence is subject to them.

### 1.5 Territory and field-split drafting

The licence is limited to the Territory and the Field. Licensee shall not, and shall ensure that its Affiliates and Sublicensees shall not, actively market, sell or distribute Licensed Products outside the Territory or outside the Field, or to any person Licensee knows or has reason to believe intends to resell outside the Territory or Field. Nothing in this Clause restricts passive sales that are lawful under applicable competition law. All rights in other fields and territories are reserved to Licensor, who may license them to third parties.

**Drafting note:** Check competition-law limits: absolute bans on passive sales and resale-price restrictions may be unlawful in some jurisdictions. Field definitions should be objective and testable.

### 1.6 Term of licence

This Agreement commences on the Effective Date and, unless terminated earlier under Clause 19, continues [Option 1: for an initial term of [five (5)] years and renews automatically for successive [one (1)] year periods unless either Party gives [ninety (90)] days' written notice of non-renewal] [Option 2: on a country-by-country and Licensed Product-by-Licensed Product basis until the later of (a) expiry of the last Valid Claim covering such product in that country and (b) [ten (10)] years from the first commercial sale] [Option 3: perpetually, subject to termination for cause].

**Drafting note:** Patent licences commonly run to the last Valid Claim. Royalties after patent expiry are generally unenforceable in the US (Brulotte v. Thys; Kimble v. Marvel) unless tied to non-patent rights such as know-how or software, so use stepped-down royalties or a hybrid structure. Check local law on the point.

## Clause 2. Reservation of Rights and Ownership

### 2.1 Reservation

All rights not expressly granted are reserved by Licensor. As between the Parties, Licensor and its licensors own and retain all right, title and interest in and to the Licensed IP and all Improvements made by or for Licensor. No licence or right is granted by implication, estoppel or otherwise. Licensee acquires no ownership interest in the Licensed IP, and the licence is a licence and not a sale of any copy of the Licensed Software.

## Clause 3. Restrictions

### 3.1 Licensee restrictions (software and technology)

Licensee shall not, and shall not permit any third party to: (a) copy, modify or create derivative works of the Licensed Software except as expressly permitted; (b) reverse engineer, decompile or disassemble the Licensed Software or attempt to derive source code, except to the extent such restriction is prohibited by applicable law; (c) rent, lease, lend, sell or provide the Licensed Software as a service bureau or on a time-sharing basis; (d) remove or alter any proprietary notice; (e) circumvent licence keys, usage limits or technical protection measures; (f) use the Licensed IP to build a competing product; (g) use the Licensed Software in breach of applicable law, including export control and sanctions laws; or (h) [use any output to train a machine-learning model that competes with the Licensed Software].

**Drafting note:** Licensees should insist on carve-outs for interoperability, backup copies, and statutory rights. Clause 3(h) is a recent addition seen in AI and data licences.

### 3.2 Open source

Licensor warrants that, except as disclosed in Schedule [3], the Licensed Software does not incorporate or link to any software licensed under terms (such as GPL or AGPL) that require, as a condition of use, modification or distribution, that such software or any combined work be disclosed, licensed for the purpose of making derivative works, or redistributed at no charge. Licensor shall provide a software bill of materials on request.

## Clause 4. Sublicensing

### 4.1 Sublicensing - controlled

Licensee may grant sublicences under the licence in Clause 1 only (a) to its Affiliates, and (b) to third parties with Licensor's prior written consent, not to be unreasonably withheld, conditioned or delayed. Each sublicence shall: (i) be in writing and consistent with and subject to this Agreement; (ii) contain restrictions, confidentiality, audit and reporting obligations at least as protective as this Agreement; (iii) prohibit further sublicensing; (iv) **terminate automatically on termination or expiry of this Agreement**, subject to Clause 4.2; and (v) name Licensor as an intended third-party beneficiary. Licensee shall provide a copy of each sublicence (financial terms redacted if necessary) within [thirty (30)] days of execution and remains liable for the acts and omissions of each Sublicensee as if its own.

### 4.2 Survival of sublicences (licensee-friendly option)

On termination of this Agreement other than for Licensee's uncured payment default or breach of Clause 17, each Sublicensee in good standing shall, at its request, have the right to enter into a direct licence with Licensor on terms substantially identical to the sublicence, and Licensor shall not unreasonably refuse. Licensor shall be entitled to [the royalty payable by the Sublicensee to Licensee] from the date of such direct licence.

**Drafting note:** Sublicensees (banks, hospitals, resellers) rarely accept a sublicence that dies with the head licence. Licensors accept 'non-disturbance' only where the Sublicensee is not in default.

## Clause 5. Assignment, Affiliates and Change of Control

### 5.1 Assignment

Neither Party may assign, transfer or novate this Agreement or any right or obligation under it without the other Party's prior written consent, except that either Party may assign the whole of this Agreement without consent to an Affiliate or to a successor to all or substantially all of the business or assets to which this Agreement relates, provided that the assignee assumes all obligations in writing and, in the case of a Licensee assignment, the assignee is not a direct competitor of Licensor. Any purported assignment in breach is void. Licensor may freely assign the Licensed IP, subject to this Agreement, and shall procure that any transferee takes subject to the licence.

### 5.2 Change of control

Licensee shall notify Licensor within [ten (10)] days of any Change of Control of Licensee. If the acquirer is a Competitor of Licensor, Licensor may, within [sixty (60)] days of notice, [terminate this Agreement on [ninety (90)] days' notice] [convert any exclusivity to non-exclusivity] [require a revised fee].

# Part 4. Financial Terms

## Clause 6. Fees and Royalties

### 6.1 Upfront fee and milestone payments

In consideration of the licence, Licensee shall pay Licensor: (a) a non-refundable, non-creditable upfront fee of [currency and amount] within [thirty (30)] days of the Effective Date; and (b) the following milestone payments within [thirty (30)] days of the first achievement of each milestone (each payable once only): [Milestone 1: first regulatory approval or certification in the Territory - amount]; [Milestone 2: first commercial sale - amount]; [Milestone 3: cumulative Net Sales exceed amount - amount]. Licensee shall notify Licensor within [ten (10)] days of achieving each milestone.

### 6.2 Running royalty

Licensee shall pay Licensor a running royalty of **[five percent (5%)]** of Net Sales of Licensed Products [Option: tiered - [x]% of annual Net Sales up to [amount]; [y]% above that amount] [Option: per-unit royalty of [amount] per unit sold] [Option: [z]% of all Sublicense Income, excluding royalties on Sublicensee sales, which are shared under Clause 6.3] during the Royalty Term, calculated and paid quarterly within [forty-five (45)] days after the end of each calendar quarter.

**Drafting note:** Royalty benchmarks vary widely by sector (pharma, medical devices, software, electronics, agri-tech). Do not quote 'standard' rates without sector data; cite comparable licences or databases. Always fight over the definition of Net Sales: deductions for fictional marketing and overhead shrink the base.

### 6.3 Sublicense income share

Licensee shall pay Licensor [twenty-five percent (25%)] of all Sublicense Income received, where "Sublicense Income" means all consideration of any kind (upfront fees, milestones, equity at fair market value, minimum guarantees) received from Sublicensees in consideration of the sublicence, excluding (a) earned royalties on Sublicensee sales (which are subject to Clause 6.2) and (b) bona fide reimbursement of documented R&D costs.

### 6.4 Royalty stacking and anti-double-dipping

If Licensee is required to pay royalties to third parties to make or sell Licensed Products and such third-party licences are reasonably necessary, Licensee may deduct [fifty percent (50%)] of such third-party royalties from the royalties due under Clause 6.2, provided that the royalty payable to Licensor in any quarter shall not be reduced below [fifty percent (50%)] of the amount otherwise due.

**Drafting note:** Common in multi-patent technologies such as telecoms and biotech. Licensors insist on a floor so that stacking cannot erase the royalty.

### 6.5 Minimum annual royalty ('use it or lose it')

Commencing with the [second] Contract Year, Licensee shall pay Licensor a minimum annual royalty of [amount] (the "MAR"). If earned royalties for a Contract Year are less than the MAR, Licensee shall pay the shortfall within [thirty (30)] days of the end of that Contract Year. **If Licensee fails to pay the MAR when due, Licensor may, on [thirty (30)] days' notice, [convert the licence to non-exclusive] [terminate the licence].**

**Drafting note:** The cure for 'shelving': an exclusive licensee (often an incumbent) may lock the technology away to protect its existing products. The MAR forces use or release.

### 6.6 Combination products and bundles

Where a Licensed Product is sold together with other products or services for a single price (a "Combination Product"), Net Sales shall be calculated by multiplying the Net Sales of the Combination Product by the fraction A/(A+B), where A is the average stand-alone Net Sale price of the Licensed Product and B is the average stand-alone sale price of the other components, in each case during the relevant period. If no stand-alone price exists for either, the Parties shall agree an equitable allocation, failing which the matter shall be determined under Clause 21.

### 6.7 Currency, tax, withholding, late payment

All amounts are stated and payable in [currency]. Conversion shall use [the rate published by [central bank / Reuters] on the last business day of the quarter]. All amounts are exclusive of VAT, GST and similar taxes, which Licensee shall pay in addition against a valid invoice. If Licensee is required by law to withhold tax, it shall (a) withhold only the minimum required, (b) pay the withheld amount to the authority on time, (c) deliver official receipts within [thirty (30)] days, and (d) cooperate to obtain treaty relief. [Option: Licensee shall gross-up payments so that Licensor receives the amount it would have received absent withholding.] Late payments bear interest at [x]% per annum above [benchmark] or the maximum lawful rate, if lower, from the due date until payment.

**Drafting note:** Cross-border royalties raise withholding tax and double-tax-treaty issues. Check the relevant treaty and the local tax authority's approval and remittance procedures before fixing a gross-up.

### 6.8 Most-favoured licensee (optional, licensee-friendly)

If Licensor grants any third party a licence under the Licensed IP in the Field and Territory on financial terms more favourable than those in this Agreement, Licensor shall promptly notify Licensee and offer Licensee the same terms prospectively.

## Clause 7. Reports, Records and Audit

### 7.1 Royalty reports and records

Within [forty-five (45)] days after each calendar quarter, Licensee shall deliver a written report showing, by country and by Licensed Product: gross sales, each deduction claimed, Net Sales, units, Sublicense Income, royalties due, and currency conversion. Licensee shall keep complete and accurate books and records sufficient to verify the reports for [five (5)] years after the period to which they relate.

### 7.2 Audit right and cost-shifting

Licensor may, not more than once per calendar year and on [fifteen (15)] days' notice, appoint an independent certified accountant [or, for software, an independent IT compliance auditor] bound by confidentiality to inspect those records during business hours. The Licensor shall bear the cost of the audit, **except that if the audit reveals an underpayment (or, for software, over-deployment) exceeding [five percent (5%)] of the amount due for the audited period, Licensee shall pay the full reasonable cost of the audit**, together with the shortfall and interest under Clause 6.7, within [thirty (30)] days. Any overpayment shall be credited against future payments. Licensee shall procure equivalent audit rights from its Affiliates and Sublicensees.

**Drafting note:** Typical market: one audit a year, 3-6 years look-back, 5% threshold. Licensees seek limits on look-back, no repeat audits for the same period, and confidentiality of auditor findings (auditor reports only discrepancy, not unrelated data).

### 7.3 Software compliance certification

Within [thirty (30)] days after each anniversary of the Effective Date, Licensee shall deliver a certificate signed by an officer confirming the number of installations, users and deployments of the Licensed Software and compliance with the licence metrics. Any excess usage shall be licensed at the then-current list price [less [x]%] and invoiced as a "true-up".

## Clause 8. Diligence and Commercialisation

### 8.1 Commercially reasonable efforts and milestones

Licensee shall use [commercially reasonable efforts] [efforts no less than those it applies to its own products of similar potential] to develop, obtain approvals for, launch and sell Licensed Products in the Territory. Without limitation, Licensee shall achieve the following diligence milestones by the dates stated: [Milestone - Date]. Licensor may, if Licensee fails to meet a milestone and does not cure within [ninety (90)] days of notice (or obtain an extension on payment of [amount]), [convert the licence to non-exclusive] [terminate the licence] [terminate in respect of the relevant country or Field only].

**Drafting note:** Define the efforts standard. 'Best efforts', 'reasonable endeavours' and 'commercially reasonable efforts' have different judicial meanings across jurisdictions; define the standard objectively where possible.

# Part 5. Licensing Models

## Clause 9. SaaS / Subscription Agreement

### 9.1 Access right

Subject to this Agreement and payment of the Fees, Provider grants Customer a non-exclusive, non-transferable, non-sublicensable right during the Subscription Term to access and use the Service and Documentation, [up to the Authorised Users / Usage Limits in the Order Form], solely for Customer's internal business purposes [and those of its Affiliates identified in the Order Form].

### 9.2 Service levels and support

Provider shall make the Service available at least [99.9]% of each calendar month, excluding scheduled maintenance (not exceeding [x] hours per month on [x] days' notice) and events outside Provider's reasonable control. If availability falls below the target, Customer shall be entitled to service credits as set out in Schedule [SLA]. Service credits are [the sole and exclusive remedy for availability failures] [without prejudice to termination for chronic failure, being failure to meet the target in [three] months in any [six]-month period]. Provider shall provide support in accordance with the [Standard / Premium] Support Policy.

### 9.3 Customer Data, security and data protection

As between the Parties, Customer owns all Customer Data. Customer grants Provider a limited, non-exclusive licence during the Subscription Term to host, process and use Customer Data solely to provide the Service. Provider shall maintain administrative, physical and technical safeguards consistent with [ISO/IEC 27001] and Schedule [Security], shall notify Customer without undue delay and in any event within [seventy-two (72)] hours of becoming aware of a Security Incident, and shall process personal data only on documented instructions under the Data Processing Addendum. Provider may use aggregated and de-identified Service Usage Data to operate and improve the Service, provided that it does not identify Customer or any individual. **On termination, Provider shall make Customer Data available for export for [thirty (30)] days and thereafter delete it within [thirty (30)] days and certify deletion.**

**Drafting note:** Check applicable data-protection and localisation rules. For regulated customers (banks, government), insist on data residency, sub-processor lists, audit rights, and exit assistance.

### 9.4 Fees, renewals, suspension

Fees are set out in the Order Form, invoiced [annually] in advance and payable within [thirty (30)] days. Fees increase on renewal by not more than [the lesser of [x]% and CPI]. Provider may suspend access on [ten (10)] days' notice for undisputed overdue sums, and immediately where necessary to prevent material harm to the Service or other customers, restoring access promptly once the cause is cured. Subscriptions renew for equal periods unless either Party gives [sixty (60)] days' notice of non-renewal.

### 9.5 Acceptable use

Customer shall not (a) use the Service in violation of law or third-party rights; (b) upload malicious code; (c) probe, scan or test vulnerabilities without permission; (d) interfere with the Service or exceed rate limits; (e) resell or provide the Service to third parties other than as permitted; or (f) use the Service to build a competing service. Customer is responsible for the acts of its Authorised Users.

## Clause 10. Enterprise Licence Agreement (ELA)

### 10.1 Enterprise scope and true-up

Provider grants Customer and its Affiliates a non-exclusive enterprise licence for the Licensed Software across [the whole group / the named business units] for the Enterprise Term, for up to [number] Enterprise Units (employees, cores, devices or revenue band). Within [thirty (30)] days after each anniversary, Customer shall report actual Enterprise Units. Where actual deployment exceeds the licensed quantity by more than [x]%, Customer shall pay for the excess at the discounted rate in Schedule [Pricing] (the "True-up"). Where Customer's workforce reduces, the Parties shall [not] adjust the licensed quantity or Fees [except on renewal].

**Drafting note:** Key negotiating points: definition of Affiliate, treatment of acquisitions and divestments during the term, price protection at renewal, certification-based audit in lieu of invasive audits, and whether post-termination use is permitted for a run-off period.

### 10.2 Mergers, acquisitions and divestments

Entities acquired by Customer during the term shall be added to the licence on notice and payment of the pro-rata Fees [after a [x]-month grace period]. Divested entities may continue to use the Licensed Software for [twelve (12)] months [under a transitional licence] [or may take an assignment of a pro-rata portion of the licence with Provider's consent].

## Clause 11. Perpetual / On-Premise Software Licence and Maintenance

### 11.1 Perpetual licence and maintenance

Provider grants Licensee a perpetual (subject to Clause 19), non-exclusive, non-transferable licence to use the Licensed Software in object code form on the Authorised Systems at the Authorised Sites for the Licence Metric purchased. During the Maintenance Term, in return for the Maintenance Fee ([x]% of the licence fee per year), Provider shall provide support, Updates and Upgrades (if included) and shall make reasonable efforts to correct material defects in accordance with Schedule [Support]. Provider shall continue to offer Maintenance for at least [seven (7)] years after delivery, on terms no less favourable than for other customers.

### 11.2 Acceptance testing

Within [thirty (30)] days after delivery, Licensee shall test the Licensed Software against the Acceptance Criteria. If the software fails, Licensee shall notify Provider with reasonable detail, and Provider shall correct the non-conformity within [thirty (30)] days. If the software fails the second test, Licensee may [reject the software and obtain a refund] [accept with a price reduction] [terminate for material breach]. Silence for [ten (10)] business days after the test period is deemed acceptance.

## Clause 12. Source Code Escrow

### 12.1 Escrow deposit and release

Within [thirty (30)] days of the Effective Date, Licensor shall deposit with [Escrow Agent, e.g. a recognised independent escrow provider] under a three-party escrow agreement (the "Escrow Agreement") the Source Code, build scripts, third-party dependencies list, developer documentation and a list of the tools and keys necessary to compile and run the Licensed Software, and shall update the deposit within [thirty (30)] days after each release and at least every [six (6)] months. Licensee may require verification of the deposit (at Licensee's cost) up to [once] a year, including a build test. **Release Events** are: (a) Licensor becomes insolvent, enters liquidation, receivership or administration, or ceases business; (b) Licensor ceases to provide Maintenance in breach of this Agreement and fails to remedy within [thirty (30)] days; (c) Licensor assigns the Licensed Software to a party that fails to assume the support obligations; or (d) [other events]. On a Release Event, the Escrow Agent shall release the deposit to Licensee, and Licensee shall have a perpetual, non-exclusive licence to use, modify and maintain the Source Code solely to support its own internal use of the Licensed Software, subject to the confidentiality terms of this Agreement.

**Drafting note:** Critical for banks, governments, and utilities relying on small vendors. Note that insolvency-triggered release may conflict with local insolvency law (e.g. ipso facto provisions); the licence should be drafted as a present grant effective on release, and confirm treatment of escrow in the vendor's insolvency regime. Use a three-way agreement, not a two-party deposit.

# Part 6. IP Ownership: Commissioned Work, Joint Development, Research

## Clause 13. Commissioned Work and Work-for-Hire

### 13.1 Assignment of Foreground IP (Option A: client owns)

Contractor hereby assigns, and shall procure that its personnel assign, to Client absolutely with full title guarantee all right, title and interest in all Deliverables and Foreground IP, effective on creation [or, if later, on payment in full of the Fees], including the right to sue for past infringement. Contractor waives, and shall procure the waiver of, all moral rights to the extent permitted by law. To the extent any Foreground IP cannot be assigned under applicable law, Contractor grants Client an exclusive, perpetual, irrevocable, worldwide, royalty-free, sublicensable licence to exploit it. Contractor shall execute all documents and do all acts reasonably required to perfect Client's title, and irrevocably appoints Client as its attorney for that purpose.

**Drafting note:** The default rule in many jurisdictions is that the contractor (not the commissioner) owns copyright in commissioned works, absent a written assignment; the commissioner often owns only an implied licence. For employee works, the employer usually owns (check the Industrial Property Act position on employee inventions, which generally favours the employer absent contrary agreement). Always assign in writing, with signed assignment from individual contractors and employees of the contractor.

### 13.2 Background IP and licence-back

Each Party retains ownership of its Background IP. Contractor grants Client a non-exclusive, perpetual, irrevocable, worldwide, royalty-free, sublicensable (to Client's service providers and customers) licence to use Contractor's Background IP embedded in or necessary to use the Deliverables, solely as part of the Deliverables. Contractor shall identify embedded Background IP and third-party components in the Deliverables in a schedule.

### 13.3 Option B: Contractor owns, Client licensed

Contractor owns all Foreground IP. Contractor grants Client a perpetual, irrevocable, non-exclusive [exclusive in the Field] licence to use, modify and maintain the Deliverables for its business, [with a right to sublicense to Affiliates], and a right to the Source Code under Clause 12 if the Contractor becomes unable to support them.

### 13.4 Employee and contractor invention clauses

Contractor represents that each individual who contributes to the Deliverables has signed a written agreement assigning all IP to Contractor (or has been duly employed under terms that vest IP in Contractor), and that no contribution infringes or is subject to any claim of a university, former employer or funding agency.

### 13.5 AI-generated and AI-assisted work

Contractor shall disclose in writing the use of generative AI tools in producing any Deliverable, shall not input Client Confidential Information into any tool that retains it or uses it to train models, and warrants that it has the rights necessary to assign or license the output to Client. Contractor shall use reasonable efforts to ensure outputs do not reproduce third-party copyrighted material and shall indemnify Client for claims arising from breach of this Clause.

**Drafting note:** Ownership of AI-generated material is unsettled in many jurisdictions (some require human authorship for copyright). This clause should be expected to evolve rapidly.

## Clause 14. Joint Development and Research Collaboration

### 14.1 Governance

The Parties shall establish a Joint Steering Committee with [two] representatives from each Party, meeting [quarterly], to approve the Research Plan, budget, milestones and any changes. Decisions shall be unanimous; if the Committee cannot agree within [thirty (30)] days, the matter shall be escalated to [senior executives] and, failing resolution, [the Chair of the Party responsible for the activity has final say on matters within its expertise, but no decision may increase the other Party's financial obligations, alter ownership, or breach law without consent].

### 14.2 Ownership of results

(a) Each Party owns its Background IP. (b) Results made solely by a Party's personnel ("Sole Results") are owned by that Party. (c) Results made jointly by personnel of both Parties ("Joint Results") are jointly owned in [equal] undivided shares. (d) Inventorship shall be determined under applicable patent law. (e) Each Party grants the other a non-exclusive, royalty-free licence to use the Sole Results of the granting Party for the purposes of the collaboration, and [for internal research purposes thereafter].

### 14.3 Joint IP - management and exploitation

Neither Party shall assign its share in Joint Results without the other's consent, except to a successor to the relevant business. The Parties shall decide jointly the filing and prosecution of patents on Joint Results, with [Party A] leading, costs shared [equally]. Where a Party declines to share costs, it shall assign its share to the other. Each Party may exploit Joint Results [in its field of interest: [Field A] for Party A, [Field B] for Party B] and shall not license Joint Results to a third party without the other Party's consent [except non-exclusive licences with an accounting of [x]% of proceeds to the other Party].

**Drafting note:** Joint ownership is a trap in many systems: in some countries (e.g. the US) each co-owner may exploit and license non-exclusively without accounting, in others co-owners cannot license without consent. Never leave it silent; allocate by field, or have one party own and license back.

### 14.4 Publications and academic freedom

A Party wishing to publish results shall submit the draft to the other Party at least [forty-five (45)] days prior. The other Party may within that period (a) require removal of its Confidential Information, and (b) request a delay of up to [ninety (90)] days to file patent applications.

### 14.5 Cost-sharing, funding and government rights

Each Party shall bear its own costs unless the Research Plan provides otherwise. Where the research is funded in whole or in part by a government or donor, the Parties acknowledge that the funder's rights, including non-exclusive licences, reporting duties and [march-in rights], apply to the relevant results and prevail over this Agreement to the extent of any conflict.

## Clause 15. Improvements, Grant-back and Feedback

### 15.1 Improvements

Improvements made by Licensee to the Licensed IP ("Licensee Improvements") shall be owned by [Option 1: Licensee, with Licensee granting Licensor a non-exclusive, perpetual, worldwide, royalty-free licence to use them outside the Field] [Option 2: Licensor, with Licensee holding a licence under Clause 1 without additional fee] [Option 3: the Party making them, with a mutual licence of improvements on fair, reasonable and non-discriminatory terms]. Each Party shall promptly disclose Improvements to the other.

**Drafting note:** Exclusive grant-backs are often anti-competitive and may be unlawful under competition law in some jurisdictions (e.g. EU Technology Transfer Block Exemption; US Antitrust Guidelines for Licensing of IP). Prefer non-exclusive grant-backs limited to the licensed field.

### 15.2 Feedback

Licensee may provide suggestions or feedback regarding the Licensed IP. Licensee grants Licensor a non-exclusive, perpetual, worldwide, royalty-free licence to use feedback that does not include Licensee's Confidential Information or Background IP.

# Part 7. Technology Transfer and Know-How

## Clause 16. Technology Transfer

### 16.1 Scope: IP, know-how, training and assistance

In addition to the licence granted, Licensor shall transfer the Technology to Licensee in accordance with the Technology Transfer Plan in Schedule [TT], including: (a) delivery of the Technical Documentation (drawings, specifications, process descriptions, formulae, source code, SOPs, test methods); (b) training of up to [number] of Licensee's personnel for [number] days at [location]; (c) deployment of Licensor's personnel for up to [number] person-days at Licensee's facility; (d) assistance with installation, commissioning and process validation; and (e) technical support for [number] months after Acceptance. Licensee shall provide suitably qualified staff, facilities and information reasonably required.

**Drafting note:** A patent certificate or a USB drive of code is rarely enough. The agreement should convert the licence into capability: documented know-how, trained people, SOPs, and a measurable endpoint.

### 16.2 Acceptance and performance guarantee

Technology transfer is complete on Acceptance, when Licensee has independently produced [three (3)] consecutive batches / run the system for [thirty (30)] days meeting the Performance Criteria in Schedule [TT]. If Licensee fails to achieve the criteria due to Licensor's deficiencies after [two] repair cycles, Licensee may [reduce the fee] [terminate and receive refund of [x]% of the upfront fee].

### 16.3 Local capacity building and personnel

The Parties shall cooperate to develop the capability of Licensee's local team to operate, maintain and, where permitted, adapt the Technology independently within [number] months. Licensor shall not be required to disclose know-how beyond that listed in Schedule [2]. Licensee shall bear its personnel's travel and accommodation, and shall ensure its personnel sign confidentiality undertakings. Neither Party shall solicit the other's technical personnel during the term and for [twelve (12)] months thereafter.

### 16.4 Know-how licence and post-term use

Licensee may use the Licensed Know-How during the Term. After expiry (other than termination for Licensee's breach) Licensee may continue to use Know-How that has entered the public domain other than through Licensee's breach, and shall [continue / cease] to use other Know-How [on payment of a paid-up royalty of [amount]].

### 16.5 Regulatory, local approvals and compliance

Each Party shall obtain the approvals, registrations and licences required in its own jurisdiction for the performance of this Agreement, including any [technology transfer, foreign investment, foreign-exchange or technology import] approvals and recordal of the licence with the relevant IP office. The Parties shall cooperate in good faith, and the Agreement shall take effect only on [receipt of the Approvals] (a condition precedent) [long-stop date].

# Part 8. Confidentiality and NDAs

## Clause 17. Confidentiality

### 17.1 Mutual confidentiality obligations

The Recipient shall (a) use Confidential Information solely to exercise its rights and perform its obligations under this Agreement; (b) not disclose it to any third party except to its employees, Affiliates, professional advisers and permitted Sublicensees who need to know it and are bound by written confidentiality obligations at least as protective; (c) protect it with at least the degree of care it uses for its own confidential information and no less than reasonable care; and (d) promptly notify the Discloser of any unauthorised use or disclosure. The Recipient is liable for any breach by those to whom it discloses Confidential Information.

**Drafting note:** Use this form for a mutual NDA. For a one-way NDA, redefine 'Discloser' and 'Recipient' as fixed Parties and delete reciprocal duties. Choose one-way if only you are sharing secrets; mutual if both sides are.

### 17.2 Standard exclusions (four exceptions)

Confidential Information does not include information that the Recipient can show by written records: (a) is or becomes publicly available other than through breach of this Agreement; (b) was lawfully known to the Recipient before disclosure and without obligation of confidence; (c) is independently developed by the Recipient without use of or reference to the Discloser's Confidential Information; or (d) is rightfully received from a third party without restriction. **Compelled disclosure:** The Recipient may disclose Confidential Information to the extent required by law, court order or regulator, provided it gives the Discloser prompt prior notice (where lawful), cooperates in seeking protective measures, and discloses only the minimum required.

**Drafting note:** The usual list has four exceptions; some forms treat compelled disclosure as a fifth exception, others as a permitted disclosure subject to notice (as above). The latter is safer because the information remains confidential in other hands.

### 17.3 Duration - ordinary information v trade secrets

The obligations in this Clause continue during the Term and for [three (3)] years after termination or expiry, **except that for Trade Secrets (including source code and the Licensed Know-How), they continue for so long as the information remains a trade secret under applicable law other than through the Recipient's breach.** "Trade Secret" means information that derives independent economic value from not being generally known and is the subject of reasonable efforts to keep it secret.

**Drafting note:** The 3-year trap: if the NDA expires at year 3, a trade secret may lose its legal protection in year 4 because the owner has failed to take reasonable steps to keep it confidential. Always distinguish ordinary confidential information (fixed term) from trade secrets (as long as they remain secret).

### 17.4 Return, destruction, residuals

On request or termination, the Recipient shall promptly return or destroy all Confidential Information (including copies, notes and derivatives) and certify compliance, except for copies required by law or retained in routine electronic back-ups, which remain subject to this Clause. [Residuals clause (licensee-friendly, resisted by disclosers): the Recipient is not restricted from using general skills, knowledge and experience retained in unaided memory, excluding any use of the Discloser's source code, trade secrets or patented technology.]

### 17.5 Whistleblower, regulator and securities carve-out

Nothing in this Agreement prohibits a Party or its personnel from reporting possible violations of law to a government agency, making disclosures protected under whistleblower laws, or disclosing information as required by securities regulation or stock-exchange rules.

# Part 9. Warranties, Indemnities and Liability

## Clause 18. Warranties, Indemnity and Limitation of Liability

### 18.1 Licensor warranties

Licensor warrants that: (a) it has full power and authority to enter and perform this Agreement; (b) it owns or has the right to license the Licensed IP and has not granted conflicting rights; (c) to its knowledge, the Licensed IP does not infringe any third party's IP in the Territory [and there is no pending or threatened claim]; (d) the Licensed Software will perform materially in accordance with the Documentation for [ninety (90)] days from delivery [for the Subscription Term]; (e) the Licensed Software will not contain viruses, time bombs or disabling code; and (f) it complies with applicable law, including anti-bribery laws.

**Drafting note:** Licensors usually give knowledge-qualified non-infringement warranties; licensees push for flat warranties. Patents are often licensed 'as-is' with no validity or scope warranty. Consider specifying the status of each listed patent (granted / pending) and any encumbrances or government rights.

### 18.2 Disclaimer

EXCEPT AS EXPRESSLY STATED IN THIS AGREEMENT, THE LICENSED IP IS PROVIDED "AS IS", AND EACH PARTY DISCLAIMS ALL OTHER WARRANTIES, EXPRESS OR IMPLIED, INCLUDING WARRANTIES OF MERCHANTABILITY, FITNESS FOR A PARTICULAR PURPOSE, NON-INFRINGEMENT [AND THE VALIDITY OR SCOPE OF ANY PATENT], TO THE MAXIMUM EXTENT PERMITTED BY LAW.

**Drafting note:** Consumer-protection and sale-of-goods statutes may restrict exclusion of implied terms; check mandatory rules.

### 18.3 IP infringement indemnity

Licensor shall defend, indemnify and hold harmless Licensee, its Affiliates and their officers and employees from all losses, damages, costs and reasonable legal fees arising from any third-party claim that the Licensed IP, as delivered and used in accordance with this Agreement, infringes that third party's IP in the Territory. Licensor shall have no liability to the extent the claim arises from (a) modifications not made by Licensor; (b) combination with items not supplied or approved by Licensor; (c) use in breach of this Agreement; or (d) Licensee's specifications. **Procedure:** Licensee shall promptly notify Licensor, give sole control of the defence and settlement (provided no settlement admits fault or imposes obligations on Licensee without consent) and reasonable cooperation. **Remedies:** If an injunction is, or is likely to be, obtained, Licensor shall at its cost (i) procure the right to continue use, (ii) modify the item to be non-infringing with equivalent functionality, or (iii) if neither is commercially feasible, terminate the affected part and refund [prepaid fees less depreciation over [five] years] [royalties paid]. This Clause states Licensor's entire liability for IP infringement claims.

### 18.4 Licensee indemnity

Licensee shall defend, indemnify and hold harmless Licensor from third-party claims arising from (a) Licensee's breach of Clause 3 (Restrictions); (b) Licensed Products made, sold or used by Licensee, its Affiliates or Sublicensees (including product liability claims); (c) Customer Data or Licensee content provided in breach of law; and (d) negligence or wilful misconduct.

### 18.5 Limitation of liability

(a) Neither Party is liable for indirect, special, consequential or punitive damages, or for loss of profit, revenue, data or goodwill [except where such losses are direct and caused by breach of confidentiality or IP infringement]. (b) Each Party's total aggregate liability arising out of this Agreement in any Contract Year shall not exceed [the greater of [x] times the Fees paid or payable in the preceding twelve (12) months and [amount]]. (c) **The limits in (a) and (b) do not apply to:** death or personal injury caused by negligence; fraud; wilful misconduct; Licensee's payment obligations; breach of Clause 3 or Clause 17 by Licensee; misappropriation or infringement of the other Party's IP; indemnities under Clauses 18.3 and 18.4 [or subject to a higher super-cap of [x] times the Fees]; or liability that cannot be limited by law.

**Drafting note:** The most heavily negotiated clause. Licensors want caps on everything; licensees want carve-outs or super-caps for data breach, IP indemnity and confidentiality. Always check mandatory law limits on exclusion.

### 18.6 Insurance

Each Party shall maintain throughout the Term, and for [two (2)] years thereafter, professional indemnity / technology errors-and-omissions insurance [and cyber liability insurance] of not less than [amount] per claim, and shall provide certificates on request.

# Part 10. Term, Termination and Survival

## Clause 19. Termination

### 19.1 Termination for cause and insolvency

Either Party may terminate this Agreement by written notice if the other Party: (a) commits a material breach and fails to remedy it within [thirty (30)] days of written notice (ten (10) days for non-payment); (b) becomes insolvent, is unable to pay its debts as they fall due, enters liquidation, administration or receivership, makes an assignment for the benefit of creditors, or ceases business. Licensor may terminate immediately by notice if Licensee (i) challenges the validity, enforceability or ownership of the Licensed IP [Option: or assists a third party to do so] [Option: in which case royalties are doubled during the challenge]; (ii) breaches Clause 3 or Clause 17; or (iii) undergoes a Change of Control to a Competitor.

**Drafting note:** No-challenge and termination-on-challenge clauses are restricted in some jurisdictions (e.g. EU competition law, US Lear v. Adkins). In the US, a licensee is typically free to challenge validity regardless; termination-on-challenge is more defensible than an absolute no-challenge covenant.

### 19.2 Termination for convenience (where agreed)

[Licensee] may terminate this Agreement for convenience on [one hundred and eighty (180)] days' written notice, provided that all amounts accrued to the date of termination are paid. [Early termination fee: [amount] if before the [third] anniversary.]

### 19.3 Effects of termination

On termination or expiry: (a) all licences granted terminate and Licensee shall cease use of the Licensed IP, subject to (b); (b) Licensee may, for [six (6)] months, sell existing inventory of Licensed Products (subject to royalties) and complete work in progress, unless termination is for Licensee's breach; (c) Licensee shall return or destroy Licensed Software, Source Code, Documentation and Confidential Information and certify compliance within [thirty (30)] days; (d) all unpaid sums become immediately due; (e) [Transition assistance] Licensor shall provide, on request and at its then-current rates, assistance for up to [six (6)] months to enable orderly transition; and (f) accrued rights and remedies are unaffected.

### 19.4 Survival

Clauses [1 (definitions), 2, 3, 6 (accrued payments), 7 (for [x] years), 15, 17, 18, 19.3, 20, 21, 22] and any other provision which by its nature is intended to survive termination or expiry, survive.

### 19.5 Bankruptcy-safe licence (licensee-friendly)

The Parties intend that the licences granted are licences of rights to intellectual property for the purposes of [Section 365(n) of the US Bankruptcy Code and any equivalent or analogous insolvency law], and that Licensee may retain and fully exercise all its rights and elections under such law. Licensor shall, on Licensee's request in an insolvency, deliver all embodiments of the Licensed IP (including source code).

**Drafting note:** Bankruptcy treatment of IP licences varies widely by jurisdiction; local insolvency counsel should confirm whether licensee protection exists and what practical steps (escrow, registration of the licence, security interest) are available.

# Part 11. Enforcement, Remedies and Dispute Resolution

## Clause 20. Enforcement of IP and Remedies

### 20.1 Notice of infringement and right to sue

Each Party shall promptly notify the other of any suspected infringement or misappropriation of the Licensed IP in the Territory. **Licensor** has the first right, but not the obligation, to bring action at its own cost and to retain any recovery after reimbursement of the Parties' costs [with Licensee receiving [x]% reflecting lost sales]. If Licensor does not commence action within [ninety (90)] days of a request, or notifies that it will not, **Licensee** (for exclusive licences) may bring action in its own name, and if needed in Licensor's name, at its own cost, with Licensor's reasonable assistance, and shall retain recoveries after reimbursing costs [and paying Licensor [x]% as a royalty-equivalent]. Neither Party shall settle an action in a way that admits invalidity or limits the Licensed IP without the other Party's prior consent.

**Drafting note:** In many jurisdictions only the owner or an exclusive licensee with recorded licence may sue. Confirm standing rules and whether the licence must be recorded with the IP office for the licensee to enforce or for it to bind third parties.

### 20.2 Prosecution and maintenance of IP

Licensor shall file, prosecute and maintain the Licensed Patents [at its cost] [with costs reimbursed by Licensee in the Field], using counsel reasonably acceptable to Licensee, keeping Licensee informed and considering its comments in good faith. If Licensor intends to abandon any Licensed Patent, it shall notify Licensee at least [sixty (60)] days before the deadline and Licensee may continue at its own expense and take over ownership [or licence of that patent].

### 20.3 Injunctive and equitable relief

Each Party acknowledges that a breach of Clause 3, Clause 17 or any misuse of the other Party's IP would cause irreparable harm for which damages would be an inadequate remedy, and that the other Party shall be entitled to seek an interim or permanent injunction, specific performance or other equitable relief from any court of competent jurisdiction without proof of actual damages and without the need to post a bond [or on posting the minimum bond required by law], in addition to all other remedies. Such relief may be sought notwithstanding the arbitration agreement in Clause 21.

**Drafting note:** Money damages are often too late once a secret is out. Injunctions (and, where available, border measures through customs, search-and-seizure and destruction orders for counterfeit goods) provide immediate protection. Confirm the available remedies under the local IP statutes and procedural rules.

### 20.4 Remedies for unauthorised use (liquidated damages - option)

If Licensee uses the Licensed Software or Licensed Know-How outside the scope of the licence, Licensee shall pay, in addition to other remedies, [liquidated damages equal to [x] times the standard licence fee for such use], the Parties agreeing that this is a genuine pre-estimate of loss and not a penalty.

**Drafting note:** Penalty doctrine varies: English law (Cavendish v Makdessi) and Indian law (Section 74 Contract Act 1872, which allows reasonable compensation) apply different tests. Check the Contract Act position in the relevant jurisdiction.

## Clause 21. Governing Law and Dispute Resolution

### 21.1 Escalation, mediation and arbitration

**Governing law:** This Agreement and any non-contractual obligations arising from it are governed by the laws of [jurisdiction], without regard to conflict-of-law rules. **Escalation:** The Parties shall first refer any dispute to senior executives, who shall meet within [fourteen (14)] days. **Mediation:** If not resolved within [thirty (30)] days, the Parties shall attempt mediation under the [institution's] mediation rules. **Arbitration:** Any dispute not resolved within [sixty (60)] days of the mediation request shall be finally resolved by arbitration under the [ICC / SIAC / LCIA / UNCITRAL / institution] Rules by [one / three] arbitrator(s), seated in [city], conducted in [English]. The award is final and binding and may be enforced in any court of competent jurisdiction. **Confidentiality:** the arbitration and award are confidential. **Carve-out:** Clause 20.3 (interim relief) and claims regarding validity of registered IP rights where mandatory local law requires court jurisdiction.

**Drafting note:** Choose seat and rules deliberately: enforcement depends on the New York Convention, and validity of registered patents and marks may be arbitrable only inter partes in some countries. For cross-border deals with a small economy counterparty, a neutral seat with a well-known institution is common. Check whether the national ADR statute recognises and enforces foreign awards.

### 21.2 Expert determination for technical or financial disputes

Disputes concerning the calculation of royalties, Net Sales, or technical acceptance shall be referred to an independent expert [accountant / technical expert] jointly appointed (or, failing agreement within [ten (10)] days, appointed by [institution]), acting as expert and not as arbitrator, whose decision shall be final and binding save for manifest error. Costs shall be borne as the expert directs.

# Part 12. Compliance and General Provisions

## Clause 22. Compliance and Boilerplate

### 22.1 Export control, sanctions, anti-bribery

Each Party shall comply with applicable export control, sanctions, anti-bribery and anti-corruption laws. Licensee shall not export, re-export or transfer the Licensed IP in breach of such laws and shall obtain any required licences. Neither Party shall offer or accept any improper payment or advantage in connection with this Agreement. A breach of this Clause is a material breach not capable of remedy.

### 22.2 Data protection (if personal data is processed)

Where a Party processes personal data on behalf of the other, the Parties shall comply with applicable data protection law and the Data Processing Addendum in Schedule [DPA]. Cross-border transfers shall be made only under a valid transfer mechanism.

### 22.3 Force majeure

Neither Party is liable for delay or failure (other than payment obligations) caused by events beyond its reasonable control (including natural disasters, war, terrorism, epidemic, government action, utility or internet backbone failure, labour disputes not involving its own employees), provided it notifies the other promptly and uses reasonable efforts to mitigate. If the event continues for more than [ninety (90)] days, either Party may terminate the affected part on notice.

### 22.4 Notices, entire agreement, amendment, waiver, severability, counterparts

**Notices** must be in writing and delivered by hand, courier or email (with confirmation) to the addresses in the Order Form and are effective on receipt. **Entire agreement:** this Agreement (with its Schedules) is the entire agreement on its subject, superseding all prior agreements, and each Party acknowledges that it has not relied on any statement not expressly set out in it (but nothing limits liability for fraud). **Order of precedence:** [the body of the Agreement; then the Schedules; then the Order Form]. **Amendment** only in writing signed by both Parties. **Waiver:** no failure or delay is a waiver. **Severability:** invalid provisions are severed and the remainder continues, with the invalid provision replaced by a valid one that most closely achieves the original intent. **Counterparts and electronic signature** are permitted. **Independent contractors:** no partnership, agency or joint venture is created. **Third-party rights:** none, except as stated in Clause 4. **Publicity:** no press release or use of marks without the other's approval. **Language:** the English text prevails over any translation.

### 22.5 Recordal and registration

Licensee may [at Licensor's request / at its own cost] record the licence with the relevant IP office. The Parties shall execute a short-form licence for that purpose, which shall not contain financial terms and shall not alter the Agreement. Licensor shall execute any documents reasonably required to record or cancel the recordal at termination.

# Part 13. Scenario Selector Matrix

Use this matrix to select clause combinations for common transaction types. Each row lists the key choices and the clauses to pull from this library.

| Scenario | Core structure | Clauses to pull | Watch-outs |
|---|---|---|---|
| Commercial software licence (on-premise) | Non-exclusive, perpetual, object code, per-metric fee + annual maintenance | 1.3, 2, 3, 5, 6.1, 7.3, 11, 12, 18, 19, 21 | Metric definition, audit scope, support lifecycle, source code escrow for critical systems |
| SaaS subscription | Non-exclusive access right, annual subscription, SLA | 9, 3.1, 17, 18, 19.3, 21, 22.2 | Data export on exit, security incident timing, service credits as sole remedy, suspension rights |
| Enterprise Licence Agreement (ELA) | Non-exclusive group-wide licence, true-up, volume pricing | 10, 1.3, 4.1, 7.3, 5.2 | Affiliate definition, M&A, true-up caps, price lock at renewal |
| Patent licence - exclusive | Exclusive, field/territory-limited, upfront + milestones + royalty + MAR | 1.1, 1.4, 1.5, 1.6, 4, 6, 7, 8, 15, 18.1, 19, 20 | Net Sales, diligence, post-expiry royalties, patent challenge, standing to sue |
| Patent licence - non-exclusive / portfolio | Non-exclusive, running royalty with stacking | 1.3, 6.2, 6.4, 6.6, 7, 19, 20 | Valid Claim definition, royalty stacking, MFL |
| Technology transfer (cross-border) | Licence + know-how + training + performance acceptance | 16, 1.1/1.2, 6, 7, 17, 19, 22.1, 16.5 | Local approvals, withholding tax, capacity building, non-solicitation |
| Know-how / trade secret licence | Confidentiality-heavy, no patent; royalties tied to know-how | 16.4, 17 (esp. 17.3), 3, 6, 19.3 | Duration of royalty, residuals, return/destroy, injunctions |
| Commissioned software/design | Client-owned deliverables via assignment | 13.1, 13.2, 13.4, 13.5, 17, 18, 22.5 | Written assignment, moral rights, background IP, open source, AI tools |
| Joint development / R&D | Shared ownership, JSC, publication rules | 14, 15, 17, 6.3, 20.2, 20.1 | Joint ownership default rules, exploitation by field, government funding |
| University or research-institute licence | Exclusive field licence, diligence, publication freedom | 1.1, 1.4, 8, 14.4, 6, 18.2, 18.3 | Reserved research rights, funder rights, limited warranties |
| Distribution / reseller with IP licence | Non-exclusive or exclusive territory + trademark licence | 1.5, 4, 3, 6, 7, 19.3 | Competition law on resale restrictions, quality control for marks |
| Trade mark / brand licence | Quality control, approval of goods, royalty | 1.3, 3, 6.2, 7, 19, 20; add quality control and use of marks | Licensor must control quality to avoid naked licence; record with trade mark registry |
| Open-source / dual-licence strategy | Open licence + commercial licence | 3.2, 1.3, 15.2 | Copyleft contamination, contributor agreements |
| AI model / dataset licence | Non-exclusive, use restrictions, output rights | 1.3, 3.1(h), 13.5, 17, 18, 22.2 | Training-data provenance, output ownership, usage restrictions, model weights as trade secrets |
| Source-code purchase / outright assignment | Assignment of all rights for lump sum | 13.1, 13.2, 6.1, 18, 22.5 | Retained licence-back, employee rights, recordal |

# Part 14. Negotiation Checklists

## 14.1 Licensor's priorities

- Define the field/territory narrowly so the rest can be licensed elsewhere.
- Prefer non-exclusive; if exclusive, require diligence milestones and minimum annual royalties with conversion or termination.
- Define Net Sales tightly; include affiliates and sublicensees; prohibit deductions for marketing and overhead.
- Annual audit right with cost-shifting at 5% variance; records retention of at least five years.
- Sublicences require consent, flow-down, and automatic termination with the head licence.
- Own improvements to the core technology or receive a licence-back; avoid exclusive grant-backs.
- Warranties limited to authority and knowledge-qualified non-infringement; cap liability; carve-outs only for IP misuse and confidentiality.
- Trade secrets protected indefinitely; injunctive relief clause; return/destruction on exit.

## 14.2 Licensee's priorities

- Broad grant (make, have made, use, sell, import, modify) and sublicensing to affiliates and customers, with survival of end-user licences.
- Exclusivity in a clearly defined field and territory; MFL clause; no obligation to launch in non-viable markets.
- Royalty reductions for stacking, generic competition or patent invalidity/expiry; royalty term ends with last Valid Claim.
- Escrow with robust release events; business continuity and bankruptcy-protection language.
- Flat IP infringement warranty and uncapped or super-capped indemnity; clear remedies if an injunction issues.
- Reasonable audit (limited look-back, no repeat audits, independent auditor, confidentiality).
- Cure periods for breach; no termination for minor or curable defaults; transition period and sell-off rights.
- Support and update commitments for a minimum number of years; price caps on renewals.

## 14.3 Red-flag review list for counterparty drafts

| Red flag | Why it matters | Fix |
|---|---|---|
| Licence grant silent on exclusivity or territory | Ambiguity invites disputes and implied rights | State exclusivity, field, territory expressly |
| 'Net Sales' includes broad deductions | Shrinks royalty base | Close deduction list; combination-product formula |
| No audit right or no cost shifting | Cannot verify payments | Annual audit, 5% shifting |
| Sublicences survive without conditions | Uncontrolled downstream rights | Flow-down; consent; direct licence only if in good standing |
| Perpetual NDA for everything or 3-year NDA for trade secrets | Impractical, or secret lost | Split: fixed term for ordinary, indefinite for trade secrets |
| Unlimited liability or no cap | Existential risk | Cap with carve-outs |
| No termination effects / survival clause | Rights continue ambiguously | Add 19.3 and 19.4 |
| Joint ownership silent on licensing | Default rules differ by country | Allocate by field or restrict licensing |
| Foreign law with no recordal or approval step | Licence may be unenforceable against third parties or non-remittable | Add 16.5, 22.5 and local-law check |

# Part 15. Schedules and Templates

## 15.1 IP due-diligence checklist (pre-licence portfolio review)

Complete before signing to confirm what the Licensor owns, what it can license, and what risks must be allocated in the agreement.

| Review area | Questions to answer | Documents to request |
|---|---|---|
| 1. Inventory | What patents, applications, registered and unregistered marks, designs, copyrights (including software), domain names, trade secrets and databases exist? | IP register, registration certificates, application files, source repositories |
| 2. Chain of title | Who is the named owner? Are employee and contractor assignments signed? Any co-owners, universities or funders? | Employment contracts, contractor agreements, assignments, funding agreements |
| 3. Status and validity | Granted or pending? Renewal fees paid? Claims in force? Oppositions or challenges? Priority dates and geographic coverage? | Official certificates, maintenance receipts, search reports, prosecution history |
| 4. Encumbrances | Existing licences, liens, security interests, exclusive grants, government rights, standards-related commitments? | Licence agreements, loan documents, recordal extracts |
| 5. Third-party dependencies | Open-source components, third-party libraries, data sources, freedom-to-operate risks? | Software bill of materials, open-source scan, FTO analysis |
| 6. Trade secret hygiene | Marking, access controls, NDAs, exit processes, trade secret register? | NDAs, access logs, policies |
| 7. Value and licensability | Which assets are core versus peripheral? Which can be licensed by field or territory? What comparable licences exist? | Revenue data, market study, comparable licences |
| 8. Gaps and actions | Missing registrations, unassigned inventions, expiring rights, enforcement priorities | Action plan with owners and dates |

## 15.2 Heads of terms template

| Term | Provision to be settled | Model clause |
|---|---|---|
| Parties and Licensed IP | Legal entities, registration numbers, schedule of patents, software, know-how and marks | Definitions; Schedules 1-3 |
| Exclusivity | Exclusive / sole / non-exclusive; reserved rights | 1.1 - 1.4 |
| Field of Use | Precise, objective definition; excluded fields | 1.5; Definitions |
| Territory | Countries or regions; exclusions | 1.5; Definitions |
| Term and renewal | Fixed term, last Valid Claim or perpetual; renewal mechanics | 1.6 |
| Sublicensing and transfer | Affiliates, third parties, consent, survival; assignment and change of control | 4, 5 |
| Upfront fee and milestones | Amounts, triggers, creditability | 6.1 |
| Royalty | Rate, tiers or per-unit, Net Sales definition, stacking, combination products | 6.2 - 6.6; Definitions |
| Minimum annual royalty and diligence | Amount, start date, consequence of shortfall; development milestones | 6.5, 8 |
| Reporting and audit | Frequency, records retention, audit threshold and cost-shifting | 7 |
| Improvements | Ownership and licence-back; feedback | 15 |
| Technology transfer | Deliverables, training, acceptance criteria, local approvals | 16 |
| Escrow and continuity | Deposit, verification, release events | 12; 19.5 |
| Confidentiality | Mutual or one-way; term; trade secret duration | 17 |

| Term | Provision to be settled | Model clause |
|---|---|---|
| Warranties, indemnity, liability | Warranty scope, infringement indemnity, cap and carve-outs, insurance | 18 |
| Termination | Triggers, cure periods, sell-off, transition, survival | 19 |
| Enforcement and disputes | Right to sue, cost and recovery split, governing law, seat, rules | 20, 21 |

# Part 16. Quick Reference

## 16.1 Summary of key positions

- **Grant:** six variables - exclusivity, territory, term, field, sublicensing/transfer, permitted actions.
- **Money:** upfront + milestones + running royalty + minimum royalty; define Net Sales; stacking with a floor; audit with 5% cost-shifting.
- **Control:** diligence, minimum annual royalty, conversion to non-exclusive; sublicence flow-down and automatic termination.
- **Risk:** warranties, IP indemnity, cap and carve-outs, insurance; open-source and AI-generated content disclosures.
- **Continuity:** three-way escrow, transition assistance, insolvency-safe language, sublicensee non-disturbance.
- **Know-how:** technology transfer = IP + documentation + training + acceptance criteria.
- **Secrets:** four standard exclusions; fixed term for ordinary information; trade secrets protected for as long as they remain secret.
- **Enforcement:** who sues, cost and recovery split, injunctions, interim relief carved out of arbitration.
- **Exit and disputes:** termination triggers, effects, survival, governing law, escalation, mediation, arbitration.

## 16.2 Reference materials

- WIPO: Exchange of Value - Negotiating Technology Licensing Agreements; WIPO model agreements; WIPO Lex for national statutes.
- Licensing Executives Society (LESI) licensing guides; ICC model contracts for technology transfer and confidentiality.
- Bhutan: Industrial Property Act 2001; Copyright Act 2001; Contract Act 2013; Alternative Dispute Resolution Act 2013; Companies Act 2000 (verify current texts and amendments).
- Competition-law guidance: EU Technology Transfer Block Exemption Regulation and Guidelines; US DOJ/FTC Antitrust Guidelines for the Licensing of IP.
- Practice precedents: university technology-transfer office templates; open-source licence texts; escrow provider standard agreements.

**Note on use:** A model clause is a starting point. The commercial deal, governing law, mandatory rules (competition, consumer, tax, data protection, insolvency, formalities) and each party's risk appetite determine the final text. Tailor each clause, delete what is not needed, and check every cross-reference and schedule.